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## China Coal | Asia Pacific

# Weekly Coal Update: Import Arbitrage Window Remains Open for Indonesia Coal

## Key Takeaways

- Thermal coal prices grew WoW, while coking coal prices stayed resilient.

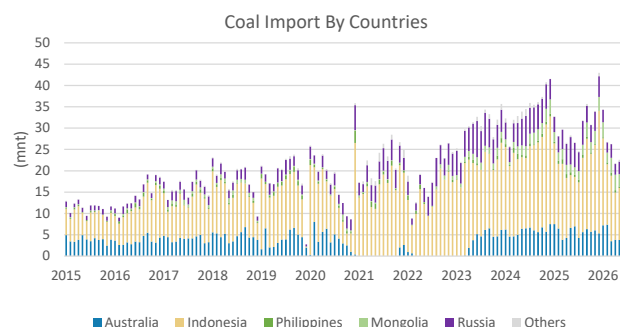
**Thermal coal prices hiked:** QHD 5500 inched up 0.4% WoW to Rmb725/t as of July 24. BSPI edged up 0.3% WoW to Rmb715/t. CCI 5500 rose 1.3% WoW to Rmb827/t. Mine-mouth prices for Shanxi Datong 5800 grew 0.4% WoW to Rmb711/t.

**Seaborne prices increased slightly:** NEWC prices inched up 0.8% WoW.

**Domestic coking coal prices stayed resilient:** Liulin No. 4 mine-mouth prices were stable WoW at Rmb850/t. FOR prices were unchanged at Rmb2,010/t. QLD prices dropped 1.3% WoW to US\$230/t.

**Chart of the week – import arbitrage window remains open for Indonesia coal:** China's thermal coal imports recorded a 38.3% MoM increase in June. Indonesia was the biggest contributor to China's thermal coal imports, accounting for 53.8% of total thermal coal imports for the month, with shipments from the country surging 34.9% MoM. This likely reflects expectations for better consumption at power plants and improved arbitrage profit in June. The import window remains open in July, which may imply high import volume this month.

**Exhibit 1:** Chart of the Week – Coal Import By Countries Breakdown



Source: Sxcoal, Morgan Stanley Research.

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## CHINA COAL

Asia Pacific

Industry View

Cautious

**Exhibit 2 :** Data for the week

|                         |          | 24-Jul | WoW   | YTD   | YTD avg | '25 avg | YTD vs '25 |
|-------------------------|----------|--------|-------|-------|---------|---------|------------|
| <b>Regional</b>         |          |        |       |       |         |         |            |
| NEWC thermal coal       | US\$/ton | 131    | 0.8%  | 20.2% | 128     | 106.6   | 20.3%      |
| QLD coking coal         | US\$/ton | 230    | -1.3% | 5.5%  | 234     | 189.0   | 23.9%      |
| <b>China</b>            |          |        |       |       |         |         |            |
| QHD 5500 kcal/kg        | Rmb/ton  | 725    | 0.4%  | 4.3%  | 704     | 684     | 3.0%       |
| CCI 5500 kcal/kg        | Rmb/ton  | 827    | 1.3%  | 21.3% | 777     | 864     | -10.0%     |
| BSPI                    | Rmb/ton  | 715    | 0.3%  | 2.9%  | 697     | 682     | 2.2%       |
| Liulin No. 4 mine-mouth | Rmb/ton  | 850    | 0.0%  | 26.9% | 735     | 641     | 14.5%      |
| Liulin No. 4 FOR        | Rmb/ton  | 2,010  | 0.0%  | 27.2% | 1,694   | 1,399   | 21.1%      |
| QHD Inventory           | mt       | 6.45   | -5.1% | -7.5% | 6.24    | 6.37    | -2.1%      |

Note: QLD = Queensland; QHD = Qinhuangdao; CCI = China Coal Index; BSPI = Bohai-Rim Steam-Coal Price Index; FOR = Free on Rail. Source: China Coal Transport and Distribution Association (CCTD), McCloskeys, Morgan Stanley Research.

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| Overweight/Buy        | 1544              | 42%        | 453                              | 49%            | 29%                  | 757                                               | 44%                   |
| Equal-weight/Hold     | 1577              | 43%        | 390                              | 42%            | 25%                  | 769                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 544               | 15%        | 89                               | 10%            | 16%                  | 204                                               | 12%                   |
| Total                 | 3,668             |            | 933                              |                |                      | 1731                                              |                       |

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| COMPANY (TICKER)                                  | RATING (AS OF) | PRICE* (07/27/2026) |
|---------------------------------------------------|----------------|---------------------|
| <b>Hannah Yang, CFA</b>                           |                |                     |
| China Coal Energy Co., Ltd. (601898.SS)           | E (03/16/2026) | Rmb13.84            |
| China Coal Energy Co., Ltd. (1898.HK)             | O (03/16/2026) | HK\$10.80           |
| China Shenhua Energy (1088.HK)                    | O (11/02/2017) | HK\$43.06           |
| China Shenhua Energy (601088.SS)                  | E (04/04/2019) | Rmb44.83            |
| Shaanxi Coal Industry (601225.SS)                 | O (03/16/2026) | Rmb24.56            |
| Shanxi Coking Coal (000983.SZ)                    | E (10/26/2021) | Rmb6.36             |
| Yancoal Australia Ltd (3668.HK)                   | O (03/16/2026) | HK\$31.48           |
| Yankuang Energy Group Co Ltd (1171.HK)            | O (03/16/2026) | HK\$11.62           |
| Yankuang Energy Group Co Ltd (600188.SS)          | E (03/16/2026) | Rmb19.97            |
| <b>Rachel L Zhang</b>                             |                |                     |
| Shougang Fushan Resources Group Limited (0639.HK) | O (09/15/2022) | HK\$2.31            |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.